

Gauri Prasad v. State of U.P. Thru. Prin. Secy. Deptt. of Energy, Lko. & 4 Others

High Court of Judicature at Allahabad (Lucknow Bench) · Division Bench · 3 June 2026 · Writ - C No. 4696 of 2026 · **Writ disposed of; petitioner to file a fresh appeal before the competent appellate authority within ten days, to be heard and decided within four further weeks; recovery stayed for six weeks or until that decision, whichever is earlier; merits not examined**

HEADNOTE

Where a consumer challenges a theft-related electricity demand on the footing that no provisional or final assessment under Sections 126 and 135 of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 was served, and the licensee's only answer is a letter that a provisional assessment of 24.02.2023 was posted by registered cover on 08.05.2023 (three months later), together with a plea that the consumer's representation/appeal was not addressed to the proper authority, the writ court will not decide the demand on merits. An unexplained three-month delay in despatching the provisional assessment, incomplete instructions, and the licensee's failure either to inform the consumer or to re-direct a misaddressed appeal to the Appellate Authority, amount to a breakdown of communication and to service of assessment and demand not in accordance with law. The consumer is directed to file a fresh appeal before the competent authority within ten days; if filed, the Appellate Authority shall hear and decide it within four further weeks. Recovery is stayed for six weeks or until that decision, whichever is earlier.

FACTUAL SUMMARY

Gauri Prasad challenged a demand notice dated 19 August 2022 for electricity dues, alleging that the Electricity Department had proceeded without clear notice, treated him as guilty of theft with Rs 9,29,276 recoverable, and had neither served a provisional assessment nor made a final assessment known, contrary to Sections 126 and 135 of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005. After an alleged demand dated 18 November 2025 he sent a response to the Chief Engineer (Annexure 6), treated as a representation/appeal dated 17 February 2026.

A Coordinate Bench listed the matter from 29 May 2026 to 1 June 2026 and then to this date; the Department's instructions remained incomplete. Counsel for respondents 2 to 4 produced a letter that a provisional assessment of 24 February 2023 had been sent by registered cover dated 8 May 2023, and suggested the appeal was not addressed to the proper authority. No information was given on the status of that appeal.

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

unexplained delay in serving provisional assessment; demand not served in accordance with law

QUESTION

Where the licensee says a Section 126 provisional assessment was made on 24.02.2023 but sent by registered cover only on 08.05.2023, and produces no explanation for the three-month gap and no final assessment, has the consumer been served with the assessment or demand in accordance with law?

HOLDING

No. The petitioner's case was that proceedings were started without clear notice, that he had not been served with any provisional assessment, and that the final assessment was not made known, so that Sections 126 and 135 and the Supply Code, 2005 had not been followed. The licensee's letter showed a provisional assessment dated 24.02.2023 sent by registered cover dated 08.05.2023. Nothing on record explained why it took three months to send the provisional assessment, let alone the final assessment. Coupled with incomplete instructions and no decision on the consumer's representation, the Court held there had been a breakdown of communication and that the petitioner had not been served with the assessment or demand notice in accordance with law. ¶ 3-5, 10-14

QUALIFIER

The Court did not quash the demand or the assessment; it used the service finding to relegate the consumer to a fresh appeal without examining merits.

FLAG The challenged demand is dated 19.08.2022; the licensee's letter dates the provisional assessment 24.02.2023. Recorded as the judgment states it. Petitioner also invoked Section 135 and the Supply Code, 2005 without a numbered clause; the Court cited neither a Code clause nor Section 126 by number in its own reasoning.

HOLDING-UNIT · EA2003::127

misaddressed appeal must be redirected; consumer directed to file a fresh appeal; recovery stayed

QUESTION

If the consumer's representation/appeal against a Section 126 assessment was not addressed to the proper authority, may the licensee sit on it, and will the writ court decide the demand or relegate the consumer to a fresh appeal?

HOLDING

The licensee may not sit on it. Even if the representation/appeal dated 17.02.2026 was not before the appropriate authority, it was for the Electricity Department either to inform the petitioner or to re-direct it to the Appellate Authority; that was not done. Without entering into the merits, the Court directed the petitioner to prefer a fresh appeal before the competent authority within ten days. If such an appeal is preferred, the Appellate Authority shall consider and decide it after hearing, within a further four weeks. Recovery is stayed for six weeks or until the decision on the appeal, whichever is earlier. The Appellate Authority is to decide strictly in accordance with law. ¶ 12-18

QUALIFIER

The Court made clear that it had not examined the petitioner's case on merits.

FLAG The Court did not cite Section 127 by number. The direction is to a fresh appeal before the 'competent'/'Appellate' Authority. Petitioner's earlier representation (Annexure 6) was addressed to the Chief Engineer.

PRINCIPLE TAGS

s126-procedural-strictness-notice-and-hearing An unexplained three-month gap between making a provisional assessment (24.02.2023) and sending it by registered cover (08.05.2023), with no shown final assessment and incomplete instructions, was treated as a breakdown of communication: the consumer had not been served with the assessment or demand in accordance with law. ¶ 10-14

licensee-must-redirect-misaddressed-appeal-to-appellate-authority A plea that the consumer's representation/appeal was not addressed to the proper authority does not justify inaction. The licensee must inform the consumer or re-direct the papers to the Appellate Authority. ¶ 12-13

relegate-to-statutory-remedy Without examining merits, the consumer is directed to file a fresh appeal before the competent appellate authority within ten days; if filed, it is to be heard and decided within four further weeks. ¶ 15, 17-18

recovery-of-assessment-stayed-pending-s127-appeal Recovery against the petitioner is stayed for six weeks or until the decision on the fresh appeal, whichever is earlier. ¶ 16

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE DEMAND, THE THEFT ALLEGATION, AND THE QUANTUM OF RS 9,29,276

Expressly left to the Appellate Authority on the fresh appeal. The Court said it had not examined the petitioner's case on merits. ¶ 15, 17

NOT DECIDED — WHETHER SECTIONS 126 AND 135 AND THE SUPPLY CODE, 2005 WERE COMPLIED WITH SO AS TO SUSTAIN OR QUASH THE ASSESSMENT

Raised by the petitioner. The Court found non-service in accordance with law as a process fact, but did not quash the assessment or decide the Section 135 case. ¶ 5, 14-15, 17

NOT DECIDED — WHETHER THE REPRESENTATION/APPEAL DATED 17.02.2026 WAS A VALID APPEAL TO THE APPELLATE AUTHORITY

The licensee said it was not addressed to the proper authority. The Court proceeded on that assumption arguendo and directed a fresh appeal rather than deciding validity. ¶ 12-15

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.